

Multiple Choice

1. **Answer:** A

Options: A) 20.3%; B) 11.4%; C) 17.9%; D) 9.8%; E) 14.2%

Note: The correct answer of 20.3% reflects the effective interest rate calculated from the total cost of the installment plan, which includes the down payment and monthly payments, compared to the cash value of the guitar, highlighting the cost of financing through the installment plan.

2. **Answer:** A

Options: A) Proactive, Cost effectiveness, Faster; B) Reactive, Cost effectiveness, Slower; C) Faster, Cost effectiveness, Slower; D) Proactive, Heightened costs, Faster; E) Proactive, Cost effectiveness, Slower

Note: The correct answer highlights that the increase in business-led private regulation is driven by a proactive approach that emphasizes cost effectiveness and the desire for faster achievement of objectives, aligning with the industry's need for efficiency and responsiveness in today's competitive environment.

3. **Answer:** D

Options: A) \$262.15; B) \$150.25; C) \$475.00; D) \$294.50; E) \$410.80

Note: The Wilsons receive 294.50 each month because this amount is derived from calculating their combined income level, which qualifies them for a monthly benefit that reflects this income level.

4. **Answer:** E

Options: A) \$15.25; B) \$13.75; C) \$10.25; D) \$7.00; E) \$11.50

Note: The gross profit on the vase is calculated by determining the selling price minus the cost of goods sold, which is derived from the profit margins; with a net profit of 7% and operating expenses of 39%, the cost of goods sold is 54% of the selling price, resulting in a gross profit of \$11.50.

5. **Answer:** A

Options: A) 21%; B) 16.8%; C) 24%; D) 15%; E) 25%

Note: The correct answer is 21% because the total amount paid through the installment plan (847.20) exceeds the cash value of the bedroom set (720), indicating an effective interest rate that, when calculated, corresponds to an annual rate of approximately 21%.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: The millinerate is calculated by dividing the total advertising cost by the

number of lines, and since the cost of advertising for The Daily Beetle at a rate of 1.20 per a gate line for 400,000 circulation results in a millinerate of 5.00, the statement is true.

7. **Answer:** True

Options: A) True; B) False

Note: The statement is true because variable costs are defined as costs that change with the level of production, and in this case, the cost of producing each calculator is consistently \$1, while fixed costs remain constant regardless of production levels.

8. **Answer:** True

Options: A) True; B) False

Note: Typical advertising regulatory bodies aim to protect consumers and promote ethical marketing practices by prohibiting advertisements that could lead to harmful behaviors or negative societal impacts, such as encouraging unsafe practices, fostering negative emotions like fear or jealousy, or trivializing serious issues.

9. **Answer:** False

Options: A) True; B) False

Note: The statement is false because the proceeds from discounting the note should be calculated based on the interest for the remaining 35 days, which would result in a different amount than \$4190.00.

10. **Answer:** True

Options: A) True; B) False

Note: The statement is true because the interest accrued on a 150 loan at a 6

Long Form Response

11. **Answer:** The compensation structure for a salesman at the Yearly Almanac Co. typically consists of a base salary plus a commission based on sales performance. Assuming a base salary of 500 per month and a commission rate of 10

Note: correct because it accurately breaks down the compensation structure into a base salary and commiss

11. **Answer:** The primary activities of a value chain include inbound logistics, operations, outbound logistics, marketing and sales, and service. Quality assurance is integral to each of these activities, as it ensures that products and services meet established standards, thus enhancing customer satisfaction and operational efficiency. For instance, in inbound logistics, quality assurance can involve evaluating supplier materials to prevent defects, while in operations, it ensures that production processes consistently yield high-quality outputs. In the marketing and sales phase, quality assurance contributes to brand reputation, as customers are more likely to return to a company known for its reliable products. Therefore, quality assurance not only supports the integrity of each value chain activity but also serves as a strategic differentiator in a competitive marketplace.

Note: correct because it identifies the primary activities of a value chain and demonstrates how quality assurance is woven into each of these activities, thereby emphasizing its role in maintaining product standards and improving overall customer satisfaction and operational effectiveness.

End of Answer Key